

Workshop 2: Topic Workshop

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BTM710 NBB: Research Methods

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May 13, 2026

I am analyzing the effect of increased availability of online gambling in youths because I am interested in how casual-gambling, such as in the form of loot boxes, impacts consumers' proclivity to further gambling so that we can see if there is correlation with an increase in gambling addictions and problem gamblers.

We started with the question of "What is the effect of online gambling on gambling addictions", and found a tighter frame of focus on the effect on youths in particular. From there, we discussed how youths are first introduced to gambling, which can come in the form of trading card games, sports, or increasingly popular digital "loot boxes", which have become "prevalent on both mobile and desktop games" (Zendle, 2021). We then discussed the parallels between introducing loot boxes to youths via their interest in video games with introducing gambling to sports fans via sports betting, which has been observed to increase likelihood "to develop gambling problems at particularly high rates" (Sohn, 2023). This was one of the alternative hypotheses that we considered, since we felt like that has also seen a significant increase in popularity, especially through advertising.

Some other alternatives we discussed involved the cross-contamination between finance and gambling in the form of the futures market, which has impacted many in the way that they see investing. This was particularly compelling since Robinhood, an investment platform, has introduced "Prediction Markets" into their own mobile applications, further blurring the lines and increasing exposure to consumers.

A major part of why this topic stood out is we observed the shift and focus from institutional gambling markets, such as physical casinos, to digital gambling markets first hand as we grew up. The overwhelming amount of access to "home-based gambling [...] via the internet, telephone, [...] or mobile phone", along with the increase in "privacy and anonymity, greater access, [...] and convenience" (Yani-de-Soriano, 2012) has shifted the narrative and made gambling feel like commonplace.

Furthermore, the introduction of gambling to youth has only seen an increase as it's no longer marketed as gambling rather as "lootboxes". Lootboxes are a randomized chance to obtain virtual items (loot) varying in quality purchased with real currency (DeCamp, 2021). These lootboxes guarantee some reward, but have a high chance of landing/getting a low quality/value reward. Combined with UI design that strikingly resembles principles casinos use such as the, near miss effect; Which encourages players to continue rolling by placing high value rewards next to low value rewards, making them believe they almost got the high value reward (Barton et al, 2017).

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